TOPIC 4 · ECONOMIC POLICIES AND MANAGEMENT

Sydney Morning Herald (Paul Sakkal)
6 November 2026

Productivity chief says Labor's workplace laws should be reviewed

> Productivity Commission chair Danielle Wood says the government should check whether its industrial relations changes are holding back productivity. Meanwhile, figures showing the public service wage bill growing quickly add pressure on the budget.

WHAT HAPPENED

- Wood says it makes no sense to leave workplace relations out of the productivity debate. She wants the recent changes, including multi-employer bargaining and same-job-same-pay, reviewed for their productivity effects.
- Company boards now spend 55% of their time on compliance, up from 24% a decade ago.
- Even small productivity gains over the next decade could add about $14,000 to a worker's income.
- ABS data show federal public service wages rose 7% last financial year. The PM delayed his COP trip to chair budget meetings.
- Economists suggested cutting the EV tax concession and introducing a road user charge to ease inflation. RBA deputy governor Hauser warned of a 'fusillade of shocks' making policy harder.

Multi-employer bargaining: enterprise agreements negotiated across several employers at once

Industrial relations: the laws and institutions that govern pay, conditions and bargaining

55%
Share of board time spent on compliance (24% a decade ago)

$14,000
Possible gain in a worker's income from small productivity improvements

7%
Rise in federal public service wages last financial year

COMPARE The debate over Labor's workplace reforms

Critics (Coalition, business groups)

- Add **cost and complexity** for employers
- May **slow productivity growth** and investment
- Wages rising without productivity gains adds to **inflation**

Supporters (Labor, unions)

- Have helped **lift wages** after years of slow growth
- Improve **bargaining power** for low-paid workers
- Support a **fairer distribution** of income

Exam angle: Frame this as a **trade-off between equity and efficiency**. Wages can only rise sustainably in line with **productivity** without adding to inflation.

SYLLABUS LINK

Topic 4 – Labour market policies and industrial relations; Topic 4 – Fiscal policy (spending restraint); Topic 3 – Distribution of income.

TRY THIS

1. Explain the link between wage growth, productivity growth and inflation. **(4 marks)**
2. Evaluate the effects of recent industrial relations reforms on the Australian economy. **(6 marks)**

Read more: SMH – Labor's union-friendly laws under fire from its own productivity chief (6 Nov 2026)

Summary written in our own words for classroom use